

3.3.2 The role of procurement

Content	Additional information
Managing stock: • Just in time (JIT) • Just in case (JIC).	Students should be able to evaluate the use of managing stock using JIT to a given business. Students should recognise that the benefits of reduced costs must be balanced against the cost of more frequent deliveries and lost purchasing economies of scale. The benefits of having spare stock to satisfy demand balanced against the cost of holding buffer stock. Students will not be asked to draw or interpret stock control charts.
Factors affecting choice of suppliers including: • price • quality • reliability.	Students should be able to analyse the factors that affect the choice of supplier for a given business.
The effects of procurement and logistics on a business, including: • efficiency • lower unit costs. The value of effective supply chain management, including: • working with suppliers to ensure that key processes are running efficiently and cost effectively • getting goods and services for the best price and value • cutting any waste and unnecessary costs to create a streamlined process and fast production times.	Students should understand what procurement and logistics are and their effect on a business. Students should recognise that the benefits of reduced costs must be balanced against the quality of service. Students should understand what a supply chain is and recognise the benefits of managing an effective supply chain.